

ENR: Siemens Energy AG

AI Grid Supercycle · Margin Inflection · Net Cash Position

NTM P/E	Fwd 2Y EPS CAGR	FCF FY26E	Net Income FY26E
32.08x	92.9%	€6,994M	€3,732M
vs 65.90x LTM	Explosive growth	+70.7% YoY	+164.8% YoY
Value Rank	Growth Rank	Mom 12M	Net Debt/EBITDA
17/100	87/100	+94.5%	(1.94x)
EU universe	TOP GROWTH	Price return	Net cash position

FROM TURNAROUND TO SECULAR WINNER

In growth investing, the biggest multi-baggers rarely come from clean, perfect companies. They come from vital infrastructure giants that execute a structural operational pivot just as their industry hits a multi-decade supercycle. That is the exact story playing out for Siemens Energy AG. Once weighed down by the Siemens Gamesa crisis, the company has officially entered hyper-growth territory — delivering a **+94.5% price return over the past year** while fundamentals are still accelerating. With a **Growth Score of 87/100** — qualifying as a **Top Growth** name — and a **Fwd 2-Year EPS CAGR of 92.9%**, ENR is one of the most asymmetric large-cap growth stories in the European industrial space.

1 · Explosive Earnings & Cash Flow Acceleration

The scale of the earnings inflection at Siemens Energy is extraordinary even by growth-sector standards.

- **EPS Normalisé FY26E:** €4.32 vs €1.59 in FY25 — **+170.7% YoY**. Forward 2-Year EPS CAGR of **92.9%** — the primary driver of the Top Growth qualification.
- **Net Income FY26E:** €3,732M normalised — **+164.8% YoY** from €1,409M. Net Margin expanding from 3.6% to 8.5% in a single fiscal year.
- **Free Cash Flow FY26E:** €6,994M — **+70.7% YoY** from €4,097M. FCF Margin expanding from 10.5% to 15.9%, confirming that earnings growth is translating fully into cash.
- **EBITDA Acceleration:** Fwd 2-Year EBITDA CAGR of **49.0%**, with EBITDA jumping from €3,924M (FY25A) to €6,627M (FY26E) — margins expanding from 10.0% to 15.1%.

2 · Riding the AI Data Center & Grid Supercycle

Siemens Energy sits at the intersection of the most powerful structural demand themes of the next decade. Revenue growing at +13.4% in FY25A and +12.6% in FY26E — Fwd 2-Year Revenue CAGR of 13.0%.

- **Grid Technologies:** Unprecedented structural demand from US and European infrastructure spend to handle AI data centre power loads feeding directly into Siemens Energy's order book — a decade-long infrastructure mandate, not a cyclical order wave.
- **Gas Services:** Next-generation gas turbine technologies as the indispensable baseload bridge between fossil fuels and full renewable grids — orders at record levels driven by grid stability requirements.

■ **Gamesa Stabilised:** The massive legacy discount from Siemens Gamesa losses is being systematically removed, unlocking the group's true underlying earnings power.

3 • Capital Efficiency & Fortress Balance Sheet

ENR combines explosive growth with best-in-class capital returns and a net cash position — a rare combination in capital-intensive industrials.

■ **Elite Capital Returns:** LTM ROE of **23.3%**, LTM ROIC of **17.8%** and LTM ROCE of **15.0%** — all expanding sharply as the margin recovery feeds through the capital base.

■ **Net Cash Position:** LTM Net Debt of **(€7,965M)** — Net Debt/EBITDA of **(1.94x)**, meaning Siemens Energy holds more cash than debt. FY26E net cash deepens to (€8,311M) at (1.25x) — a fortress balance sheet funding organic growth with zero leverage risk.

■ **EBIT Margin Inflection:** From 6.0% (FY25A) to **11.4% (FY26E)** — EBIT tripling from €2,355M to €5,022M (+113.3% YoY), validating the structural — not cyclical — nature of the margin recovery.

The Bottom Line — From Turnaround to Compounder

A Fwd 2-Year EPS CAGR of 92.9%, FCF of €6,994M growing at +70.7% YoY, EBIT tripling in a single year, a net cash position of €7,965M, and LTM ROIC of 17.8% — this is no longer a legacy industrial turnaround story. Siemens Energy is a compounding growth engine at the heart of the AI infrastructure and energy transition supercycle. At 32.08x NTM earnings, the market is beginning to price in the structural re-rating — but with 92.9% forward EPS CAGR, the multiple is compressing faster than the share price can rise. A Growth Score of 87/100 confirms Top Growth status across 3,700+ European equities.

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